SAINT MICHAEL COLLEGE OF CARAGA

TAX LITERACY AND COMPLIANCE OF SELECTED STARTUPS IN AGUSAN DEL NORTE: BASIS FOR TAX EDUCATION PROGRAM

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In Partial Requirements for the Degree
BACHELOR OF SCIENCE IN BUSINESS ADMINISTRATION
MAJOR IN FINANCIAL MANAGEMENT

By

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ABSTRACT

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I. OBJECTIVES

This study aims to evaluate the complex relationship of tax literacy and tax compliance of selected startup businesses in Agusan del Norte. To enhance tax education and simplify tax processes to improve compliance rates among startup businesses by proposing a Tax Education Program.

II. METHODOLOGY

This study primarily describes the tax literacy and compliance of selected startup businesses in Agusan del Norte. It uses quantitative research and a descriptive correlational design. The researchers will use a printed research questionnaire that Mr. Oliver S. Umali developed to gather respondent's information.

KEYWORDS: Tax Literacy, Tax Compliance, Startup Business

DEDICATION

ACKNOWLEDGEMENT

TABLE OF CONTENTS

		Pages
TITLE PAGE		i
CERTIFICATE OF PANEL APPROVAL		ii
ABSTRACT		iii
DEDICATION		iv
ACKNOWLEDGEMENTS		v
TABLE OF CONTENTS		vi
LIST OF TABLES		vii
LIST OF FIGURES		viii
CHAPTER		
1	**THE PROBLEM AND ITS SCOPE**	
	1.1 Background of the study	1
	1.2 Review of Related Literature	4
	1.3 Theoretical Framework	14
	1.4 Schematic Diagram	15
	1.5 Statement of the Problem	16
	1.6 Scope and Limitation	16
	1.7 Definition of Terms	17
2	**RESEARCH METHODOLOGY**	
	2.1 Research Design	20
	2.2 Research Locale	20
	2.3 Research Respondents	21
	2.4 Research Instrument	21
	2.5 Research Ethical Standards	21
	2.6 Data Gathering Procedure	27
	2.7 Data Analysis Plan	27
	2.8 Bibliography	28
3	**RESULTS AND DISCUSSIONS**	
	3.1 Presentation and Analysis of Data	
	3.2 Proposed Intervention/ Output	
4	**SUMMARY, CONCLUSIONS AND RECOMMENDATIONS**	
	4.1 Summary	
	4.2 Conclusion	
	4.3 Recommendations	
REFERENCES		
CURRICULUM VITAE		
APPENDICES		

LIST OF TABLES

Table		Pages
1	Total Population of Respondents	21
2	Evaluation and Scoring	28

LIST OF FIGURES

Page Number		Pages
1	Schematic Diagram	15

CHAPTER 1

THE PROBLEM AND ITS SCOPE

1.1 Background of the Study

Tax literacy is crucial for individuals and businesses when making decisions, as the rules are constantly evolving and the economy is expanding. Hence, people need to be more aware of and follow them. Citizens and businesses pay tax for their well-being and civilization, (Adelakun, 2023). The importance of tax in every economy cannot be underestimated, (Kakra, 2020). A high level of tax literacy enables firms to understand the complexity of tax laws better, correctly compute their tax liabilities, and avoid penalties for non-compliance. This understanding promotes transparency and accountability in business operations, thereby increasing the likelihood of timely tax payments. For startup businesses, this will significantly enhance their understanding and make it easier to access government tax benefits (Agusti & Rahman, 2023). Gani et al. (2025) note that tax literacy plays a crucial role in determining compliance levels; the more aware a taxpayer is of their tax obligations, the more likely they are to be disciplined in filing their taxes. To support this claim, Disate et al. (2025) observed that as enterprises increase their tax awareness, their tax compliance improves, and local infrastructure growth increases. Thus, strengthening tax literacy among individuals and businesses not only promotes voluntary compliance but also supports sustainable economic development.

It is the conventional startup venture to seek funds sufficient to meet an 18 to 24 month runway, but in a tight fundraising climate, one might recommend a 24 to 36 month runway. It refers to the period during which a startup can sustain its operations or engage in long-term planning at its current level of spending before it runs out of cash, as (Morgan, J.P., 2024) explains. Moreover, Padi et al. (2025) finds that startup owners who understand taxes

are far more likely to comply with Value Added Tax rules, thereby reducing underreporting and filing delays. Furthermore, Lusala et al. (2025) also states that how well business owners grasp the changing e-tax system and the responsibilities that may lead to unintentional non-compliance will be linked to how effectively technology-based enterprises pay digital taxes. These may arise from the heightened risk of deliberate or accidental non-compliance due to a deficiency in awareness or comprehension of tax obligations, as noted by (Cafe et al., 2024). According to Tarwa et al. (2025), this will support the idea that better tax education and support for the startup businesses will help people comply with their tax obligations; however, this will be challenging because people do not trust the government, are confused, and will disapprove of the new tax rules. Pratama (2023) examines the intricate relationship between tax policy and entrepreneurship, aiming to provide a comprehensive analysis of the impact of taxation on entrepreneurial behavior and performance.

Filipino business owners face challenges in tracking their finances and maintaining accountability to meet their tax obligations (Cain et al., 2021). According to Umali (2024), a significant factor preventing firms in Cabuyao City from complying with the rules is their insufficient information about taxes. Relatedly, the majority of individuals in Mindanao consider paying taxes a burden rather than a civic obligation and are therefore more reluctant to do so voluntarily (Cervantes et al., 2025). In addition, Belen et al. (2024) indicate that most businesses struggle to manage their finances and fulfill their tax obligations due to a lack of necessary resources and expertise. Furthermore, different types of taxpayers—impulsive, contemplative, and active—based on their past experiences with taxes and moral influences, affect management's judgments about tax and ethical compliance, thereby making a business more appealing and desirable to investors (Angeles, 2021).

These findings indicate that tax knowledge and education also affect taxpayer behavior (Tax Payers Advocate, 2024). The literature on SMEs is quite extensive, whereas other studies focus on startups, which often experience uneven cash flow, informality, and a need for innovation (Kartika, 2024). Without the necessary report, startup businesses operating in online commerce can struggle to understand international taxation and reporting requirements (Sormin, 2022). Additionally, the perceptions of fairness and confidence in the tax authorities might affect compliance behavior (Nigatu & Dr. Walia, 2023). According to a study by the Tax Payers Advocate (2024), enhancing trust in government institutions and increasing people's knowledge of tax issues are essential in creating a better foundation for motivating individuals to pay taxes. To overcome such challenges, significant changes are needed in the laws that foster trust, simplify procedures, and educate the public. In addition, it provides a two-year tax exemption to all startups, but only if they are not affiliated with any existing corporations or conglomerates, to avoid abuse and unnecessary tax benefits for those who can already afford to pay taxes (Abrea, 2021). Furthermore, to improve the understanding of taxation through socialization and education, through collaborative community service. The methods include initial surveys, seminars, tax literacy classes, reporting simulations (e-filing and e-form), FGDs, and technical assistance (Adan et al., 2025).

This study aims to provide information about tax literacy and tax compliance of selected startup businesses in Agusan del Norte. The study's future findings are outstanding and will have a significant impact on all groups:

Business Owners. It may be advantageous for startup business owners to gain a deeper understanding of the factors influencing their financial growth, including knowledge of tax compliance and tax literacy, informed tax planning, and enhanced business financial stability.

This knowledge can also be used to develop focused policies that will support the expansion and long-term viability of Agusan del Norte's startup businesses.

Policy Makers. The information to be acquired will help policymakers develop financial education programs and tax legislation that specifically address the needs of the startup business community. They will better understand and follow tax laws, enhancing their financial performance and tax compliance.

Stakeholders. This study provides evidence-based insights into the tax literacy and compliance challenges faced by startups in Agusan del Norte, allowing the College of Business Administration and Management Department to enhance its curriculum, teaching strategies, and community extension programs. The findings can help the stakeholders align its academic content with real-world business needs, strengthen its role in promoting responsible entrepreneurship, and support the development of a Tax Education Program that benefits both students and the local business sector.

Researchers. It also helps researchers understand its significance within their fields, particularly in the business sector. For future researchers, this study will serve as a platform for comprehensive research on tax-related behavior and financial performance in startup businesses, thereby improving tax knowledge.

1.2 Review of Related Literature

The role of tax literacy in the compliance behavior of startup businesses is increasingly supported by research. When startup owners are fully aware of the tax processes, they are more likely to file accurate returns and remit taxes on schedule. The aspect of tax literacy promotes accountability as well, and it discourages tax fraud that could arise due to a lack of knowledge or understanding of the tax system. As Tantriangela & Setyowati (2023) state, the progressive concepts of tax literacy will have to be negotiated, not only in terms of financial

literacy but also as a tool for enhancing the result of compliance. This broad viewpoint is consistent with Ndung et al. (2025), who argue that it has a positive effect on individual taxpayers' compliance. On the one hand, Rosanti & Simorangkir (2024) demonstrate that tax compliance increases the likelihood that taxpayers will adhere to the rules. According to Cain et al. (2021), several startup entrepreneurs in the Philippines lack practical accounting and record-keeping practices, which complicates their attempts to comply with the rules. Similarly, other aspects, including the availability of finance, markets, and infrastructure, played a more significant role in defining growth and sustainability (Namubiru et al., 2025). The introduction of new technology for collecting Zakat, taxes, and customs revenues makes Saudi Arabia a more efficient, transparent, and beneficial place for stakeholders; however, implementation challenges and digital gaps remain (Al-Zaidan, 2023). Therefore, being aware of tax obligations helps startups run more sustainably, ensuring they are in line with regulations, competitive, and positioned to contribute to long-term economic growth.

According to Umali (2024), understanding tax literacy includes BIR Registration Knowledge, Filing & Payment Knowledge, E-System Knowledge, and Penalties & Rules Knowledge. On the other hand, tax compliance considering factors such as Timeless and Accuracy, Adherence to BIR Process, and Documentary Compliance.

Tax Literacy

Tax literacy is essential for both individuals and enterprises when making informed financial and operational decisions, as tax rules and regulations are constantly evolving in tandem with the expanding economy, (Umali, 2024). Hence, people need to be more aware of these changes and comply accordingly to avoid legal and financial consequences. According to Ellawule et al. (2024), the tax rate has no notable impact on tax compliance in Nigeria. However, tax knowledge significantly enhances this relationship, as it is essential to introduce

tax education in schools at an early stage to improve compliance levels and foster trust in the government, according to (Appiah et al., 2024). Similarly, Gani et al. (2025) state that tax literacy plays a crucial role in determining compliance levels; the more aware a taxpayer is of their tax obligations - including their filing and payment knowledge, the more likely they are to be disciplined in filing their taxes. Therefore, Disate et al. (2025) observed that as enterprises increase their tax awareness, their tax compliance improves, and local infrastructure growth increases. Anggraini (2025) asserts that digital literacy, tax incentives, and tax knowledge have a long-term impact on entrepreneurs' success.

Nonetheless, they have little knowledge of tax schedules, which complicates compliance with the regulations. This is why there is a need for strategic tax education programs that use both digital and print networks, according to Renoria, 2024. The survey identified that a primary reason for non-compliance among local firms is insufficient awareness of tax obligations (Umali, 2024). These results suggest that tax knowledge and education will be the most significant determinants of taxpayer behavior (Tax Payers Advocate, 2024). Business owners can have a reasonable understanding of the tax laws through various educational materials.

BIR Registration Knowledge

According to Lee et al. (2024) and Baba (2022), tax compliance becomes challenging when taxpayers lack sufficient knowledge about BIR processes, including morale, inspection rates, perceptions of tax fairness, the equitable distribution of tax burdens, and awareness of registration procedures and their benefits for both individuals and businesses. Additionally, factors such as the time needed for tax calculations, filing returns, and the effectiveness of government tax policies influence compliance. While tax rates may differ only slightly, businesses in many developing ASEAN markets often face longer and more complex

procedures to meet tax requirements (Dezan Shira & Associates, 2021). Furthermore, tax literacy includes understanding and keeping track of tax-related issues, being up to date on developments, and skillfully managing personal budgets by taking tax obligations into consideration, (Umali, 2024).

Filing & Payment Knowledge

Gani et al. (2025) argue that tax literacy significantly influences compliance, noting that taxpayers who possess greater awareness of their obligations—particularly regarding filing procedures and payment requirements—are more likely to demonstrate discipline in fulfilling their tax responsibilities. Additionally, simplifying the processes of tax registration, filing, and payment for individual taxpayers and micro, small, and medium-sized enterprises (MSMEs) is an essential measure for promoting greater compliance, (Umali, 2024).

E-System Knowledge

Taxes are a financial and administrative burden for businesses, which makes it more difficult for them to engage in staff development and business' growth, (Dungkelberg, 2021).. Additionally, Al-Zaidan (2023), adopting new technologies for collecting Zakat, taxes, and customs revenues has improved efficiency, transparency, and overall stakeholder benefits in Saudi Arabia, though issues related to implementation and digital accessibility still persist. Similarly, Lusala et al. (2025) note that business owners' understanding of the evolving e-tax system and its requirements influences how well technology-driven enterprises comply with digital tax obligations, and gaps in this understanding may lead to unintentional non-compliance.

Penalties & Knowledge

Tax knowledge is recognized as a key determinant of tax compliance, Umali (2024) observes that limited attention has been given to its specific components. Bornman and

Wassermann (2020) highlight that tax knowledge can be utilized to anticipate potential tax consequences, including their timing and location. Furthermore, Umali (2024) associates such knowledge with more positive attitudes toward tax payment and enhanced perceptions of fairness within the tax system. Moreover, according to Safiq (2022), people are not fully aware of their tax responsibilities, do not feel a moral obligation to pay taxes, or receive poor-quality tax services and insufficient community education about tax policies or rules in results of non-compliance.

Tax Compliance

The key factor in maximizing state revenue is tax compliance (Agatha et al., 2025). In Bekasi City, there is a high level of tax compliance, driven by tax penalties and increased awareness of motor vehicle taxes, (Safiq, 2022). The poor level of tax compliance is a long-term problem, as reported by (Sholihah & Nugroho, 2025). Tax policies, as well as tax incentives, can only contribute to an improved compliance level when supported by a sufficient level of socialization. Variables such as social factors and behavioral motivations are considered important determinants of voluntary tax compliance (Appiah et al., 2024). However, there are other factors, such as moral obligation and quality of the services, which do not have a direct impact (Safiq, 2022). Alabi et al. (2024) have identified religious convictions, belief in governance, and higher income as outstanding and positive determinants of taxpayer compliance, either voluntary or mandatory. In Kebale District, Uganda, tax is vital in helping small and medium-sized businesses to prosper, raise revenue, and receive government patronage. This is because it is necessary to ensure the company's long-term success (Irumba et al., 2025).

In examining the impact of strategic, technology-driven corporate tax compliance in the manufacturing sector, Kavesta (2025) highlights the importance of striking a balance

between enforcement and incentives in achieving financial performance through cost reduction, increased transparency, and enhanced engagement with regulatory agencies. Digital transformation significantly enhances the long-term health of businesses, thereby increasing their chances of paying taxes, particularly among business owners driven by patriotic ideals (Nastiti et al., 2025). The fear of being checked and fined, as well as the awareness of taxes, all contribute significantly to the level of adherence to tax laws. That is why it is essential to conduct statutory tax seminars to create awareness and facilitate compliance, as noted by (Granfon et al., 2023). It offers new concepts and realistic strategies for future studies and policies, as noted by (Ndlovu & Schutte, 2024). In general, it appears that clean energy startups grow significantly faster when tax compliance is simplified and specific incentives are provided, especially with the aid of digital systems.

Timeless & Accuracy

Tax compliance refers to the deliberate choice of taxpayers to adhere to established tax laws and regulations, ensuring that payments are made accurately and within prescribed deadlines, (Umali, 2024). It encompasses the proper disclosure of income, the submission of tax returns, and the fulfillment of filing obligations on time (Çetin Gerger, 2021). OECD Org. (2021) states that educating taxpayers about their taxes is an effective way to encourage people and businesses to pay their taxes on time.

Adherence to BIR Process

According to the Malacañang Records Office (2005), Executive Order No. 422, s. 2005 mandates the Bureau of Internal Revenue to implement a program aimed at promoting optimum tax compliance. The order acknowledges the importance of enhancing tax collections by offering incentives that encourage taxpayers to voluntarily declare and pay higher taxes, while simultaneously reducing administrative expenses associated with audits

and investigations conducted by the Bureau. Edy et al. (2021) asserts direct link between tax competence and compliance, emphasizing the need for taxpayers to comprehend legal guidelines and policies for effective adherence. Additionally, taxpayers' sense of fairness and trust in tax authorities can influence how well they comply with tax obligations (Nigatu & Dr. Walia, 2023). Furthermore, according to Rosanti & Simorangkir (2024), higher levels of tax compliance also make taxpayers more likely to follow established regulations

Documentary Compliance

According to Cain et al. (2021) that in the Philippines, poor documentation practices among startup owners exacerbate the difficulty of complying with tax laws. Kaur and Sekhon (2022) draw a distinction between *functional tax literacy*, referring to individuals who possess the skills to complete tax return forms, and *tax illiteracy*, which characterizes those unable to understand or perform such tasks. More comprehensively, tax literacy extends beyond familiarity with tax laws and compliance procedures to include an awareness of the broader societal role and necessity of taxation.

On the other hand, indirect taxes and destructive policies in developing countries hinder innovation, making it more challenging for these countries to compete globally (Hylynski et al., 2024). Nguyen (2022) cautions that higher tax rates may prompt taxpayers to conceal income on their returns, potentially leading to tax evasion and arrears. Furthermore, Lee et al. (2024) and Baba (2022) both suggest that tax compliance may be challenging due to factors such as morale, inspection rates, and tax fairness, including the equitable distribution of tax burdens and benefits among individuals and businesses.

Tax knowledge correlates with tax enforcement activities regarding improved tax compliance, (Barbosa et al., 2025). Rosa Intansari (2022) state that in Central Java, tax literacy significantly increases tax compliance, as does patriotism. In democratic countries, voluntary

tax compliance investigations suggest that tax literacy, combined with tools such as tax amnesty, tax incentives, and adequate service provision, plays a significant role in strengthening tax compliance. Rahayu et al. (2025) employsa structural equation modeling approach to demonstrate that tax literacy, understanding, justice, power, and trust collectively influence compliance in small and medium-sized enterprises (SMEs) within the Indonesian context. In addition, both Okoth et al. (2024) and Kasyoka et al. (2022) claim that tax literacy significantly influences the effectiveness with which taxpayers in the Stahere Sub-County (Nairobi) make payments to retailers.

Nevertheless, financially literate individuals are more likely to pay their VAT liability (Padi et al., 2025). Furthermore, tax literacy has a significant positive influence on e-commerce traders' digital income tax compliance (Lusala et al., 2025). In Bacolod City, MSMEs are primarily concerned with BIR rules and are generally aware of them. Given the significant influence of variables such as penalties on compliance, education level, and tax awareness, this study suggests the need for tailored tax awareness towards pacifical measures (Paco & Quezon, 2022). This may be due to an increased risk of unnecessary or intentional non-response, stemming from a lack of awareness or insufficient understanding of the need to pay taxes (Cafe et al., 2024). The tax system is complex, comprising various elements, including income tax, the value-added tax (VAT), payroll contributions, and local taxes. This may reduce the tendency of small firms to obey the rules (Padi et al., 2025)

Many studies use data from SMEs; however, very few address startups, which often face inconsistent funding, informal practices, and innovation demands (Kartika, 2024). SMEs must ensure their finances are well-managed to expand and remain in business. This is especially true when it comes to learning about money, seeking government help, and using new technologies (Nkwinika & Akinola, 2023). Sunarti & Kurnianingsih (2025) arrived at

analogous conclusions, identifying that income level, the self-assessment method, and tax literacy collectively influence the compliance of MSME taxpayers. Nonetheless, there is no substantial correlation between tax compliance and awareness of business income Udefi et al. (2025) state that financial literacy programs, improved transparency in the tax system, and simplified tax filing procedures foster greater tax compliance. Most SMEs engage in rampant tax evasion, seeking to establish the effect of financial literacy on SMEs' tax compliance level, with a focus on the effect of budgeting, financial forecasting, credit management, and investment diversification (Shariff & Musau, 2024). The lack of tax literacy results in suboptimal use of tax incentives, so the government must increase public awareness of tax regulations (Naitili et al., 2022).

Andriani et al. (2025) argue that compliance can be viewed as a communal solution to collective action problems. To encourage compliance, it is essential to understand what motivates people to work together. Musimenta (2020) supports this view, noting that compliance costs are operational expenditures that reduce taxable income or can increase the prices of goods and services. They caution that procedural complexity may compromise tax fairness. This study seeks to identify the factors that influence tax compliance and awareness among businesses by analyzing various demographic variables—such as age, educational attainment, and gender—as potential influencers, as noted by (Cureg et al., 2024). Additionally, factors such as industry sector also contribute to compliance dynamics (Stanley, 2021 & Granfon et al., 2023).

Age

According to Shiferaw & Tesfaye (2020), older taxpayers are more likely to pay their taxes than younger taxpayers. This may be attributed to younger taxpayers, who are less familiar with the tax system, more prone to risk-taking, and less developed in their moral

commitments to tax payment. Muslim (2020), on the other hand, disagrees with this conclusion and says that younger people actually pay their taxes more. Younger people are generally better at adapting to changes in tax laws and find it easier to use online tax reporting methods, which younger taxpayers prefer. On the other hand, most microbusiness owners in Cabuyao City are aged 26–30 or 40 and above, as these age groups often pursue entrepreneurship after gaining work experience, (Umali, 2024).

Gender

According to this finding, gender should be considered a possible factor affecting compliance behavior. Yiyam & Asmare (2020) study supports this claim by showing that businesses owned by women are more likely to pay their taxes regularly than those owned by men. However, there are more male than female microbusiness owners in Cabuyao City likely because many of the businesses are motorshops and auto parts suppliers, (Umali, 2024).

Educational Attainment

It also plays a crucial role in securing the tax revenue needed to achieve the Sustainable Development Goals. According to Shiferaw & Tesfaye (2020), as education levels increase, tax compliance tends to decline, which can lead to tax evasion. Umali, (2024) asserts that any microbusiness owners in Cabuyao City are college graduates, showing that most have completed higher education. This is likely because the types of businesses in the city require skills and knowledge usually gained through tertiary studies.

Classification of Business/ Type of Business

Granfon et al. (2023) emphasize that within specific business sectors, tax awareness plays a crucial role in shaping compliance among Small, and Medium Enterprises (SMEs). Their findings highlight the importance of developing targeted approaches to strengthen tax awareness across diverse contexts.

1.3 Theoretical Framework

To better understand Tax Literacy and Tax Compliance in Startup Businesses, this research will be anchored in the Theory of Planned Behavior by Icek Ajzen (1991). The theory of planned behavior posits that attitudes, subjective norms, and perceived behavioral control collectively influence intentions, which, in turn, shape behavior. Depending on the extent to which the individual actually controls a behavior and the extent to which perception of behavioral control accurately reflects actual behavioral control, external forces may also directly compel or prevent behaviors, regardless of intention. According to LaMorte (2022), the theory is intended to explain all behaviors over which people have self-control. The key aspect of this model is that behavioral intent is shaped by attitudes toward the probability that a given behavior will produce desired outcomes, as well as by a subjective evaluation of the risks and benefits of those outcomes.

The theory of planned behavior then explains and predicts human behavior. It particularly applies to current research, as it involves individuals' attitudes, beliefs, and intentions, which help define the levels of tax literacy and compliance. The research will focus on the relationships among attitudes, subjective norms, and behavioral perceptions among owners of startup businesses, as well as on their tax literacy and tax compliance, which ultimately affect their financial performance. The given theory can help explain the psychology of tax-related behavior in the context of startup enterprises.

1.4 Schematic Diagram

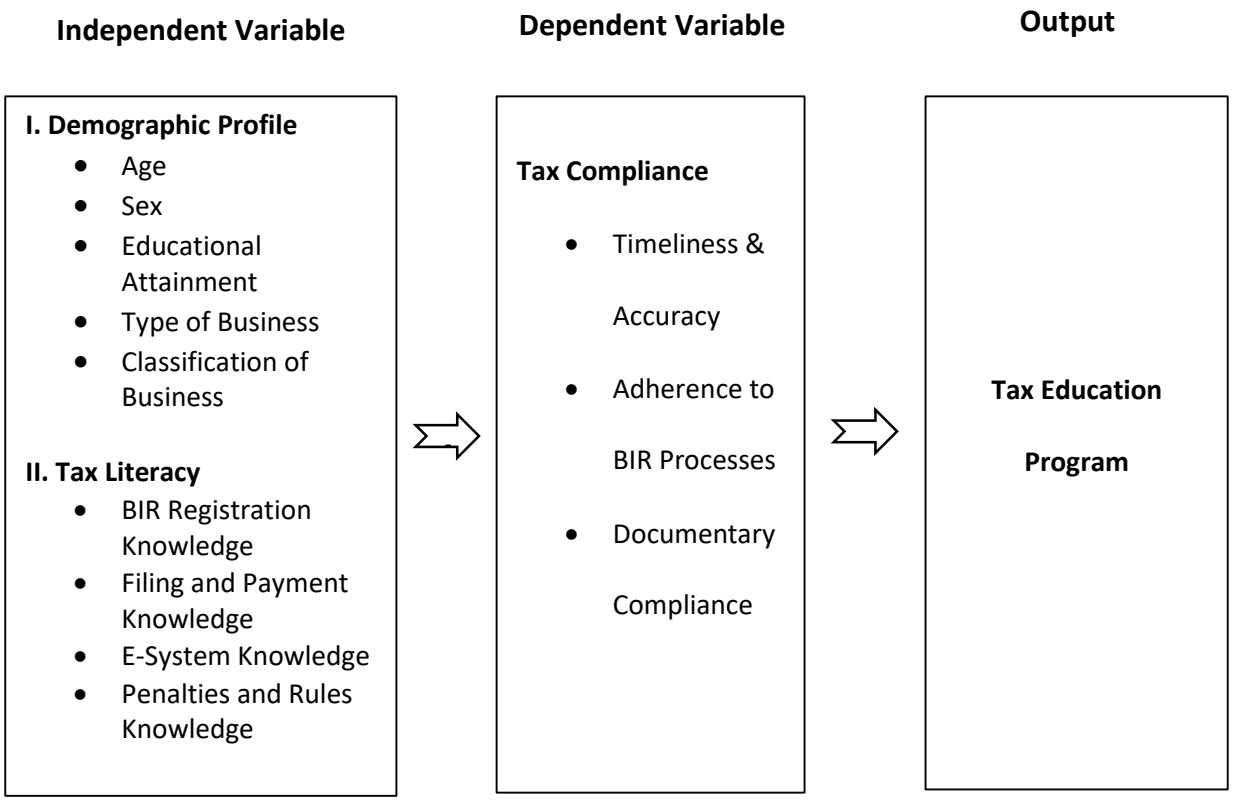


Figure 1. *The first box (independent variable) represents tax literacy. An arrow to the right box shows the second box (dependent variable) of the study, which is the tax compliance. It illustrates how the independent variables (tax literacy) are expected to influence the dependent variable (tax compliance).*

1.5 Statement of the Problem

This study evaluates the tax literacy and compliance of selected startups in Agusan del Norte. Specifically, it seeks to answer the following questions:

1. What is the demographic profile of selected startup business owners in Agusan del Norte in terms of:
   1.1 Age
   1.2 Sex
   1.3 Educational attainment
   1.4 Type of Business; and
   1.5 Classification of Business
2. What is the level of tax literacy among selected startup businesses in Agusan del Norte according to profile?
3. What is the level of tax compliance among business owners in Agusan del Norte according to profile?
4. Is there a significant relationship between tax literacy and tax compliance of the selected startup businesses in Agusan del Norte?
5. Based on the future findings of the study, what tax-related program will be proposed?

Hypothesis

The null hypothesis is intended to guide the researcher in studying tax literacy and tax compliance of Selected Startup Businesses in Agusan del Norte.

Null Hypothesis - There is no significant relationship between the levels of tax literacy and tax compliance

1.6 Scope and Limitations

This study will be conducted in selected startup businesses in Agusan del Norte, specifically in the Municipalities of Buenavista and Carmen. The respondents are the business owners of selected startup businesses in Agusan del Norte, specifically those enterprises that have been operating for less than 3 years and up to the current year. They are legally registered with the Business Permit Licenses Office (BPLO).

1.8 Definition of Terms

Accuracy. Refers to how precisely taxpayers follow tax rules and report their obligations in terms of correctness and reliability.

Adherence to BIR Processes. Refers to the taxpayers following the prescribed steps correctly, consistently, and on time**.**

Age. Refers to the chronological number of years of the startup owner or manager to examine differences in tax literacy and tax compliance among respondents.

Classification of Business. Refers to determining the startup businesses in Agusan del Norte by size.

BIR Registration Knowledge. Refers to the taxpayers' being able to navigate forms, deadlines, and requirements correctly to avoid penalties.

Documentary Compliance. Refers to taxpayers' filings are backed by proper, verifiable documents and records are available during audits.

Educational Attainment. Refers to the highest level of formal education completed by the selected startup business owner or manager to determine whether education influences tax literacy and tax compliance.

E-System Knowledge. Refers to understanding and correctly using the BIR's electronic platforms.

Filing and Payment Knowledge. Refers to the understanding and knowledge of the startup business owners what to file, when to file, and how to pay.

Penalties & Rules Knowledge. Refers to the wareness of the consequences of non-compliance and the rules governing them among startup business owners in Agusan del Norte.

Startups. Refers to the newly established business in Agusan del Norte.

Startup Business. Refers to the businesses that exist and operate for less than 3 years. Legally registered with the Business Permit Licenses Office (BPLO).

Sex. Refers to the biological classification of the startup owner or manager to determine whether gender differences influence the levels of tax literacy and compliance among selected startup businesses in Agusan del Norte.

Tax. Refers to the mandatory financial charge imposed by the government on a business's income, sales, property, or transactions among startup businesses in Agusan del Norte.

Tax Compliance. Refers to startup business owners' or managers' willingness and ability to comply with their obligations under tax laws.

Tax Literacy. Refers to the ability of startup business owners or managers to understand and manage basic tax-related matters, obligations, and procedures in the context of their business operations.

Taxpayer. Refers to the startup business owners or managers in Agusan del Norte.

Tax Education Program. Refers to a proposed learning or initiative designed to improve the knowledge, awareness, and understanding of tax responsibilities among selected startup businesses in Agusan del Norte.

Timeliness. Refers to the extent to which taxpayers meet prescribed deadlines for registration, filing, payment, and submission of required documents.

Type of Business. Refers to the classification of a taxpayer's enterprise that determines applicable tax obligations, filing requirements, and compliance processes according to industry.

CHAPTER 2

METHODOLOGY

2.1 Research Design

This study will employ quantitative research and a descriptive correlational design, utilizing a modified survey, and will be distributed to selected startup business owners in Agusan del Norte. Bhandari (2020) defines a quantitative design as the process of collecting and analyzing numbers. It generates hypotheses, determines trends and meanings, analyzes causality, and projects results to the broader population. Moreover, a correlational design (non-experimental study) will be employed to establish a strong association between tax literacy and tax compliance, utilizing correlational statistics. Specific criteria will be used in the selection process, in accordance with the study's objectives.

2.2 Research Locale

This study will be conducted in selected startup businesses in the Municipalities of Buenavista and Carmen. These municipalities are located in the northeastern part of Agusan del Norte, Caraga Region, on the Island of Mindanao. The Municipality of Buenavista is a 1st class municipality in the province of Agusan del Norte, Philippines. According to the 2020 census, it has a population of 68,892 people, has a latitude of 8°58'N and a Longitude of 125°25'E, covering an area of 148.63 km² (57.63 sq mi). They saw the village overlooking the sea and appreciated the beauty of nature in abundance. They exclaimed “Bien Vista”, which means “Good View” thus the present name Buenavista. Carmen is a coastal municipality in the province of Agusan del Norte, at longitude of 8*60'N and a latitude of 25*5'E, is located in the western Agusan corridor of the province, bordered by Butuan Bay to the north. Its present name is from the miraculous image of the Virgin of Mount Carmen, believed to have been instrumental in killing the leader of the bandits who used to inhabit the place.

2.3 Research Respondents

The respondents in this study are business owners or managers of selected startup businesses in Agusan del Norte, specifically those enterprises that have been operating for less than three years and are legally registered with the Business Permit and Licensing Office (BPLO), including their classification of the business according to size and industry. There are 202 startup businesses, including both male and female entrepreneurs.

Table 1. *Total Population of Respondents*

AREA (MUNICIPALITY)	F	f	%
BUENAVISTA	347	171	84.65
CARMEN	63	31	15. 35
TOTAL	410	202	100

2.4 Research Instrument

This study will use a purposive sampling technique. The researchers will use a modified printed research questionnaire originally developed by Mr. Oliver S. Umali's study, "Tax Literacy and Compliance of the Selected Micro Business in Cabuyao City," to gather information from respondents. The questionnaire consists of three parts: Part I provides the demographic profile of the respondents, Part II includes questions pertinent to Tax Literacy, and Part III comprises questions related to tax compliance.

2.5 Research Ethical Standards

The proposed study will be conducted with a high level of compliance with institutional ethical standards and national regulations to ensure the preservation of participants' rights. The information will not be compromised, and the overall research process will be conducted in accordance with ethical standards.

A. Protection of Intellectual Property Rights (IPR)

This study does not involve the development of new items or technology that would require patent protection to ensure financial protection. The survey questionnaire will be adapted from an already published study, provided the original author consents. The updated instrument will be tailored to the specific research environment and protected by copyright regulations. Additionally, since there will be no trademarks, logos, or distinctive designs to integrate, there is no requirement to register a trademark.

B. Informed Consent

The researchers will provide all participants in the study with a fully informed consent form, ensuring they are aware of all details. This form will clearly outline the purpose of the research, the steps that will be taken, the type of information that will be gathered, and any potential benefits and hazards associated with participating. It will also explain their rights, such as the right to refuse or leave the study at any moment without any harmful effects. Participants will know exactly what they need to do if they read the form thoroughly. They will be asked to sign the consent form if they accept to take part. This will demonstrate that they are willing to participate and understand the information provided to them. This procedure is designed to be open and honest, respecting respondents' autonomy and ensuring they are fully aware of their actions and intentions.

C. Data Privacy and Confidentiality

This study gives an overview of its goals. It reassures participants that their answers will be used solely for academic research and kept entirely private for their own safety, given the sensitivity of the topic. Researchers must ensure that any information or list provided by the organization's offices is kept private, cannot be shared without the head or manager's permission, and is used only for academic purposes.

D. Voluntary Participation Selection

Voluntary participation implies that respondents may withdraw at any time, while protecting respondents' privacy by allowing them to remain anonymous and withhold specific details such as demographic profiles. Trust implies that the respondents are not subject to any acts of deception or betrayal in the research process or its outcomes, and have the right to know the conclusion of this study.

E. Minimization of Harm and Risk

The researchers will ensure that no harm is done to the owners, employees, or representatives of the startup firms participating in this study. They ensure that the survey questions are polite and appropriate, and will not cause physical, emotional, or mental pain to respondents. The respondent will be thoroughly informed about the study's objectives and their rights as participants. The decision to join is up to them, as they can withdraw at any point without any issues. If subjects are at any stage of the procedure, they will be free to approach the researchers, who will, in turn, be free to offer support.

Animal care or handling is not applicable in this research, as no additional ethics are required for the care of animals. These measures are aimed at ensuring the safety and well-being of all individuals involved and to conduct the research in a responsible, ethical, and respectful manner at all times.

F. Beneficence and Contribution to Knowledge

This study aims to have a substantial impact by providing distinctive insights into the tax literacy and compliance rates of the selected startup companies in Agusan del Norte. The results will illustrate how well these startups understand and follow tax rules, helping to identify common difficulties, knowledge gaps, and areas that require further attention. The information will help people who own startups understand their tax responsibilities and comply with the relevant rules. The researchers will also help develop an effective tax

education program that meets the needs of new businesses. This program can help them stay up-to-date with tax laws, avoid trouble, and enable the local economy to flourish. The results may also assist schools, lawmakers, and government agencies in developing strategies to help new businesses learn about taxes and pay them. Once the research is complete, participants will be able to request the results. This way, everyone can view them, and the people who assisted with the study will gain something valuable.

G. Justice and Fair Participant Selection

The researchers will choose participants from startup companies in Agusan del Norte using a fair and open method. This ensures the study includes a range of viewpoints. The survey can provide a wealth of information on tax literacy and compliance by including people from diverse backgrounds. This method helps highlight how entrepreneurs in the province pay their taxes, the problems they encounter, and the information they may need more of. Giving all groups the same amount of attention will make the research more credible and fair. These findings can help create a tax education program that addresses the genuine needs of startup stakeholders.

H. Data Integrity and Accuracy

The researchers will collect and analyze the data fairly and thoroughly. Only the researchers will be able to see the respondents' answers, ensuring safety and fairness, including checking for missing answers or problems with the questionnaire. These problems could lead to less accurate results. If there are any blank answers, the researchers will politely follow up with the survey respondents. This fills in the blanks in the information. Before the poll is sent out, experts will look over the questions. They will ensure it is easy to understand and reliable.

A statistician will help the researchers ensure the data analysis is correct. It will also ensure the results are precise. We will handle any forms that are not filled out correctly. The outcomes will be reported honestly. These steps will ensure that the study is valid, reliable, and fair to all participants.

I. Transparency and Honesty in Reporting

To preserve the credibility of the research, we will report the findings of this study in a truthful, unambiguous, and precise manner. In addition to ensuring that all study findings are accurate, the researchers will check that no data have been altered, omitted, or misrepresented. All sources, including published articles and information protected by intellectual property rights, must be appropriately attributed and acknowledged to credit the original authors. To ensure correctness and precision, the data will be structured and analyzed using appropriate applications and procedures.

J. Use of Patented or Copyrighted Materials

Likewise, the researchers understand what plagiarism entails and are aware of the School's policy on the matter. They undertake not to make use of another person's previous work without acknowledgment or to submit it as their own. They also undertake not to allow anyone to copy their work with the intention of using it as their own.

K. Ethical Considerations for Animal and Human Trials

This study will include only human participants, specifically, the owners and managers of selected startup enterprises in Agusan del Norte. Certification in animal ethics is unnecessary because no animals are involved in the process. To protect participants' well-being and rights, the research team will carefully evaluate all potential effects, benefits, and dangers. Participants will be instructed to complete a survey questionnaire. Before

participating, the researchers will obtain informed consent, ensuring that participants are aware of the study's goals, procedures, and their rights.

L. Responsible Use of AI and Other Related Technologies

The researchers utilize AI tools, such as Grammarly and QuillBot, to enhance grammar and make content more concise and comprehensible. They also utilize ChatGPT and Microsoft Copilot to assist them in writing more effectively and selecting more precise words. The sole reason these tools were made was to help; they were not meant to replace the researchers' own thought, analysis, or decision-making. The researchers are responsible for carefully reviewing and finalizing all ideas, interpretations, and results. The team ensures the study remains accurate, reliable, and ethically sound by using AI responsibly and reviewing all results.

M. Ethical Clearance and Institutional Approval

To promote institutional monitoring, accountability, and data management in accordance with the research rules and ethical standards of Saint Michael College of Caraga, the researchers acknowledge that the college will own all data collected from this study. Upon receipt of ethical and institutional clearance from the appropriate offices, the study will commence. This will ensure that all rules and protocols are followed.

N. Disposal of Instrument

All research instruments and collected data will be managed with utmost responsibility from the beginning of the study until its completion. After the research activities have concluded, the accomplished survey questionnaires and other hard-copy materials will be securely stored in a locked storage box located either in the research office or in a designated faculty room. This controlled access ensures that only authorized personnel can handle the documents. In accordance with institutional and ethical research standards, these

materials will be retained for five (5) years. This retention period allows sufficient time for verification, follow-up inquiries, or academic review, while still protecting participant confidentiality. Once the five-year period has elapsed, all hard-copy documents will be permanently and securely shredded, ensuring that no sensitive or personally identifiable information can be recovered or misused. The entire disposal process will follow strict protocols to guarantee the complete protection of participant data, uphold ethical research practices, and maintain the integrity of the study.

2.6 Data Gathering Procedure

This study will be conducted in selected startup businesses in Agusan del Norte. The researchers will follow the following process to gather the data needed for this study. Firstly, the researchers will send a letter to the Local Government Units (LGUs) of Buenavista and Carmen, addressed to the mayors, seeking permission to conduct the study within their respective jurisdictions. Secondly, the researchers proceed to the Business Permit and Licensing Office to request the list of startup businesses, specifically those operating for less than 3 years. Lastly, the researchers will collect the printed survey questionnaires and their responses for tabulation, enabling thorough analysis and interpretation of data relevant to the study's objectives.

2.7 Data Analysis Plan and Procedure

After data collection, the researchers will analyze and interpret the information, recognizing the importance of accurate statistical procedures and data handling. The researcher will enlist a statistician to ensure the study's findings are precise and reliable. This study will use a quantitative and descriptive-correlational design.

Frequency and Percentage. To determine the number of profiles per variable.

Weighted Mean. Used to determine the relationship between the level of tax literacy and tax compliance of startup businesses in Agusan del Norte.

T-Test. Used to determine the difference between the variables when grouped according to profile.

Pearson Product Moment Correlation Coefficient. Used to establish significant relationships between tax literacy and tax compliance of startup businesses in Agusan del Norte.

Evaluation and Scoring: To Determine the Level of Tax Literacy and Tax Compliance Rating Weight with Descriptive Equivalents.

Table 2. *Evaluation and Scoring*

Assigned Points	Range	Categorical Response	Verbal Interpretation
4	3.26-4.00	Strongly Agree	Exceptionally Proficient in Tax Literacy and Compliance
3	2.51-3.25	Agree	Competent Level of Tax Literacy and Compliance
2	1.76-2.50	Disagree	Limited Tax Literacy and Compliance Practices
1	1.00-1.75	Strongly Disagree	Deficient in Tax Literacy and Compliance

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CURRICULUM VITAE



NAME: RIEZA JOY SARFOCIAL
ADDRESS: MACALANG, BUENAVISTA, AGUSAN DEL NORTE
EMAIL: mariezajoysarfocial@gmail.com

Personal Information

Sex : Female
Date of birth : January 03, 2005
Height : 4'11
Weight : 40kg

Educational Attainment

Elementary : Macalang Elementary School
Secondary : Saint James High School
Tertiary : Saint Michael College of Caraga

Membership/Affiliations

ORGANIZATION	POSITIONS HELD
Junior Financial Executives (JFINEX) - SMCC Chapter	Member
Sangguniang Kabataan ng Barangay Macalang	SK Councilor
Barangay Anti-Drug Abuse Council (BADAC - Macalang)	Youth Representative

CURRICULUM VITAE



NAME: PATRICK CZAR C. ACENAS
ADDRESS: Purok 5,Brgy.3 Buenavista, Agusan del Norte
EMAIL: agustuspatrick012@gmail.com

Personal Information

Sex	:	Male
Date of birth	:	August 15, 2001
Height	:	5*5
Weight	:	55 kg
Civil Status	:	Single

Educational Attainment

Elementary : Buenavista East Central Elementary School
Secondary : Saint James High School
Tertiary : Saint Michael College of Caraga

Membership/Affiliations

ORGANIZATION	POSITIONS HELD
Junior Financial Executives (JFINEX) - SMCC Chapter	Member

CURRICULUM VITAE



NAME: LIEKA MAE A. GEPIGA
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Personal Information

Sex : Female
Date of birth : February 6, 2005
Height : 5'1
Weight : 50 kg
Civil Status : Single

Educational Attainment

Elementary : Buenavista Central Elementary School
Secondary : Buenavista Special Education Highschool
Tertiary : Saint Michael College of Caraga

Membership/Affiliations

ORGANIZATION	POSITIONS HELD
Junior Financial Executives (JFINEX)- SMCC Chapter	Member

CURRICULUM VITAE



NAME: MICHELLO VHANN R. IGLESIAS
ADDRESS: District-3 Jasmine, Brgy.5, Nasipit Agusan del Norte
EMAIL: michiglesias7@gmail.com

Personal Information

Sex : Female
Date of birth : September 20, 2005
Height : 5'2
Weight : 47 kg
Civil Status : Single

Educational Attainment

Elementary : Nasipit Central Elementary School
Secondary : Saint Michael College of Caraga
Tertiary : Saint Michael College of Caraga

Membership/Affiliations

ORGANIZATION	POSITIONS HELD
Junior Financial Executives (JFINEX) - SMCC Chapter	Member

CURRICULUM VITAE



NAME: PITCH PEARL D. PAJARILLO
ADDRESS: D-7 Dagohoy, Poblacion, Carmen Agusan del Norte
EMAIL: pajarillopitchpearl7@gmail.con

Personal Information

Sex : Female
Date of birth : May 6, 2005
Height : 5'1
Weight : 57 kls
Civil Status : Single

Educational Attainment

Elementary : Carmen Central Elementary School
Secondary : Our Lady of Carmen Academy of Caraga Inc.
Tertiary : Saint Michael College of Caraga

Membership/Affiliations

ORGANIZATION	POSITIONS HELD
Junior Financial Executives (JFINEX) - SMCC Chapter	Member

CURRICULUM VITAE



NAME: SHELAH MARIE T. PATOC
ADDRESS: Alubihid, Buenavista, Agusan del norte
EMAIL: patocshelah@gmail.com

Personal Information

Sex : Female
Date of birth : February 5, 2002
Height : 4'11
Weight : 43 kls
Civil Status : Single

Educational Attainment

Elementary : F. S. Omayana Elementary School
Secondary : Saint James High School
Tertiary : Saint Michael College Of Caraga

Membership/Affiliations

ORGANIZATION	POSITIONS HELD
Junior Financial Executives (JFINEX) - SMCC Chapter	Member

APPENDICES